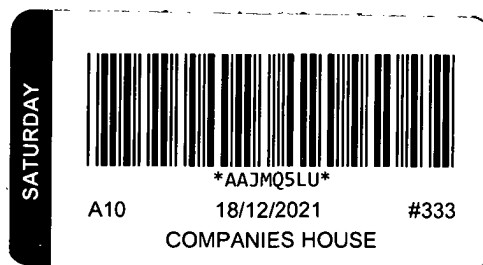


Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2021



Contents

Company information	1
Strategic report	2
Directors' report	3
Statement of Directors' responsibilities in respect of the Directors' report and the financial statements	4
Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited	5
Profit and loss account	8
Balance sheet	9
Statement of changes in equity	10
Notes	11

Company Information

Directors	ENB Fraser NS Curham B Lantorp JC Paton
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ
Banker	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Alpha Financial Markets Consulting plc group (the 'Group'¹). At 31 March 2021 (FY 21²) the Company holds net assets of £7,984,000 (FY 20: £8,478,000). The Company has transferred a profit of £5,506,000 (FY 20: £6,500,000) to retained earnings as a result of intercompany dividend income received from the Company's subsidiary, offset by costs relating to deferred consideration and earn-out payments due on the acquisitions of Obsidian Solutions Limited ('Obsidian') and Axxsys Limited ('Axxsys') by the Group in the prior year.

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are foreseen by the Directors at the balance sheet date.

Key performance indicators

Working capital management and the sufficiency of assets held across the Group is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each trading Group undertaking and compare actual performance against budget. Costs, utilisation and fee rates are also reviewed to monitor profitability.

Principal risks and uncertainties

As a holding company for the Group there is deemed to be a strong balance sheet and net assets position following the outbreak of the COVID-19 pandemic. Management continue to operate conservative cash management policies, which have been supplemented by strategic decisions made to safeguard liquidity during the pandemic, as described below. The Directors are satisfied with performance for the year.

Risk Management and the year ahead

The Directors are pleased with trading in a year of huge challenge and uncertainty with the ongoing impacts of the COVID-19 pandemic. The Directors took pre-emptive actions in the first half of the year to preserve financial flexibility, including temporary salary sacrifices made by the wider Director team and the deferral of employee profit share payments. However, the Company's financial performance strengthened throughout the year and all precautionary final measures in response to COVID-19 were withdrawn and reversed.

The Group enjoyed growing momentum through the second half of the year and that has continued into the early part of the new financial year, along with an excellent pipeline of new business opportunities under discussion. The Directors therefore look to the future with confidence.

By order of the Board.



Alan C Fator
Director
18 December 2021

¹ Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

² FY 21 is the financial year covering the 12 months to 31 March 2021. By comparison, FY 20 is the previous financial year covering the 12 months to 31 March 2020.

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2021.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the attached profit and loss account.

An interim dividend payment totalling £6,000,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 20: £7,187,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of a dividend totalling £10,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (FY 20: nil).

On 25 February 2021 the Company completed the transfer of ownership of 100% of the share capital of Axxsys Limited from the Company's ultimate parent entity, Alpha Financial Markets Consulting plc. Ownership has been transferred at consideration of £8,730,000, which represents carrying value of the investment held by the Company's ultimate parent entity at the transfer date of the Axxsys Limited shares, and £800,000 of cash acquired on initial acquisition of Axxsys. There is therefore no gain or loss for either entity attributable to the transfer of share ownership. The Directors note that it was always the intention of the Company to transfer ownership of shares and as a result the associated liabilities for deferred consideration and earn-out payments were already included on the balance sheet of the Company in FY 20, and continue to be in FY 21.

Subsequent to the end of the period, on 20 May 2021, the Company completed the acquisition of 100% of the share capital of Lionpoint Holdings, Inc., a US-based provider of specialist consultancy services to the alternatives investments industry. For further detail please refer to note 13.

For further information on the likely future developments of the business, please refer to the strategic report.

Directors

The Directors who held office during the year were as follows:

ENB Fraser
NS Curham
B Lantorp
JC Paton

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

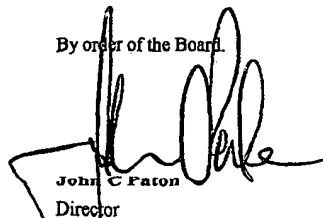
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board



John C Paton
Director

60 Gresham Street
London EC2V 7BB

13 December 2021

Statement of Directors' responsibilities in respect of the strategic report and the directors' report and the financial statements

The Directors are responsible for preparing the strategic report, the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2021 which comprise the profit and loss account, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the Directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias in accounting estimates and judgements such as employment-linked acquisition payments and acquisition earn-out assumptions. On this audit we do not believe there is a fraud risk related to revenue recognition because there are no revenue transactions recognised by this Company.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Fraud and breaches of laws and regulations – ability to detect (continued)

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the Directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

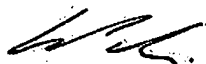
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

13 December 2021

Profit & loss account
for the year ended 31 March 2021

	Note	Year ended 31 March 2021 £000	Year ended 31 March 2020 £000
Administrative expenses		(3,612)	(2,549)
Operating loss		(3,612)	(2,549)
Interest payable and similar expenses	5	(882)	(951)
Income from shares in Group undertakings		10,000	10,000
Profit before taxation		5,506	6,500
Taxation	6	-	-
Profit for the financial year		5,506	6,500

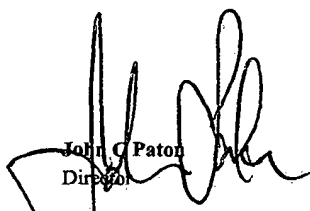
The Company had no discontinued operations in both the current and prior years.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2021

	Note	As at 31 March 2021 £000	As at 31 March 2020 £000
Non-current assets			
Investments	7	31,541	22,811
Amounts owed by Group undertakings		22,718	-
		<u>54,259</u>	<u>22,811</u>
Current assets			
Debtors	8	326	25,173
Cash at bank and in hand		124	136
		<u>450</u>	<u>25,309</u>
Current liabilities			
Creditors: amounts falling due within one year	9	(37,654)	(32,778)
		<u>(37,654)</u>	<u>(32,778)</u>
Net current liabilities		<u>(37,204)</u>	<u>(7,469)</u>
Total assets less current liabilities		<u>17,055</u>	<u>15,342</u>
Non-current liabilities			
Creditors: amounts falling due after one year	10	(9,071)	(6,864)
		<u>(9,071)</u>	<u>(6,864)</u>
Net assets		<u>7,984</u>	<u>8,478</u>
Capital and reserves			
Called up share capital	11	6,051	6,051
Share premium account	11	1,437	1,437
Capital contributions reserve		72	72
Other reserves		137	137
Profit and loss account		287	781
		<u>7,984</u>	<u>8,478</u>
Shareholders' funds		<u>7,984</u>	<u>8,478</u>

The notes on pages 11-18 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2021. They were signed on its behalf by:


John C Paton
Director

Company registered number: 07160664

Statement of changes in equity

	Called up share capital	Share premium account	Capital contributions reserve	Other reserves	Profit and loss account	Total Shareholders' funds
	£000	£000	£000	£000	£000	£000
As at 1 April 2019	6,051	1,437	72	137	1,468	9,165
Total comprehensive income for the period						
Profit for the period	-	-	-	-	6,500	6,500
Transactions with owners						
Dividends	-	-	-	-	(7,187)	(7,187)
As at 31 March 2020	6,051	1,437	72	137	781	8,478
Total comprehensive income for the period						
Profit for the period	-	-	-	-	5,506	5,506
Transactions with owners						
Dividends	-	-	-	-	(6,000)	(6,000)
As at 31 March 2021	6,051	1,437	72	137	287	7,984

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share-based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Going concern

Notwithstanding net current liabilities of £37,204,000 as at 31 March 2021 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds, through funding from its ultimate parent company, Alpha Financial Markets Consulting Plc, to meet its liabilities as they fall due for that period.

Those forecasts are dependent on Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to the Group, which at 31 March 2021 amounted to £35,746,000, and providing additional financial support during that period. Alpha Financial Markets Consulting Plc has indicated its intention to continue to make available such funds as are needed by the Company, and that it does not intend to seek repayment of the amounts due at the balance sheet date, for the period covered by the forecasts. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility, which remains undrawn at the date of approval of these financial statements, and the strength of the Group's cash position at 31 March 2021. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements, including expected payments of deferred and earn-out considerations in relation to the newly acquired Lionpoint business, and therefore have prepared the financial statements on a going concern basis.

Acquisition of Lionpoint Holdings Inc

Subsequent to the year end, in May 2021, the Company announced the acquisition of Lionpoint Holdings, Inc accompanied by a share placing of the shares in the Company's ultimate parent, Alpha Financial Markets Consulting Plc. The £31.1m gross proceeds of the share placing received by the Group exceeded the initial \$34.5m (£24.5m) acquisition consideration paid by the Company on completion. As a result, the Group added to its cash resources following the acquisition. The Company received intercompany funding of £24.5m from other entities within the Group in order to settle the initial consideration due on acquisition. The Company and wider Group retains a strong liquidity position following the acquisition. Refer to note 13 for further detail.

Notes (continued)

1 Accounting policies (continued)

1.3 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses.

In the process of applying the Company's accounting policies, the Directors have made one judgement (excluding those involving estimations), which is considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2021.

Employment-linked acquisition payments

The contingent and non-contingent consideration related to previous acquisitions are part linked to the ongoing employment of certain of the management vendors and judgement has been applied in determining whether any future payments should be classified as consideration or as remuneration for future services. This apportionment in the financial statements is based on the interpretation of multiple complex clauses within the share purchase agreement ("SPA") of the relevant acquisition.

The Company has also made an estimate in the preparation of the financial information. The assumptions underlying the estimate are based on historical experience and various other factors that are deemed to be reasonable under the circumstances. These assumptions form the basis of developing estimates of the carrying values of assets and liabilities that are not apparent from other sources. The estimate and underlying assumptions are reviewed on an ongoing basis. Revisions to the estimate are recognised in the year in which the estimate is revised and any future years affected. Actual results can differ from the estimate.

The Directors have identified the following area as the key estimate that is considered to have a significant risk of resulting in a material adjustment to the carrying amounts of assets or liabilities within the next financial year.

Acquisition earn-outs

The Obsidian and Axxsys earn-out expense calculations under IFRS 3 contain estimation uncertainty, as the earn-out potentially payable in each case is linked to the future performance of the acquiree. In order to determine the fair value of the earnout at the acquisition date, management has assessed the potential future cash flows of the Axxsys and Obsidian businesses respectively, the likelihood of an earn-out payment being made and discounted using an appropriate discount rate. These estimates are also affected by residual market uncertainty due to the current COVID-19 environment and could potentially change as a result of related events over the coming years.

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2021, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Other creditors

Other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Non-financial assets

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.7 Contingent and non-contingent deferred consideration on acquisition

Contingent and non-contingent deferred consideration may arise on acquisitions. Non-contingent deferred consideration may arise when settlement of all or part of the cost of business combination falls due after the acquisition was completed. Contingent deferred consideration may arise with consideration dependent on the future performance of the acquired company.

Deferred consideration associated with business combinations settled in cash is assessed in line with agreed contractual terms. Consideration payable is discounted for the time value of money and recognised as capital investment cost when the deferred or contingent consideration is not employment-linked. Alternatively, consideration is recognised as remuneration expense over the deferral or contingent performance period, where consideration payable is also contingent upon future employment.

In circumstances where the acquiree has an option to receive consideration in the form of cash or a variable number of shares, the Company has recognised a financial liability for the fair value of the discounted consideration. Where consideration is settled in a fixed number of shares, the consideration is classified as equity, it is not re-measured, and settlement is accounted for within equity. Otherwise, subsequent changes to the fair value of the deferred consideration are recognised in the statement of comprehensive income.

At each balance sheet date, consideration liabilities comprise the fair value of the remaining contingent or non-contingent deferred consideration valued at acquisition. Contingent earn-out liabilities for acquisitions under IFRS 3 contain estimation uncertainty, as they relate to future performance. Management has assessed the potential future cash flows of each acquired business, the likelihood of an earn-out payment being made and discounted using an appropriate discount rate.

1.8 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

Notes (continued)

1 Accounting policies (continued)

1.9 Taxation

Taxation expense on the result for the period comprises current and deferred tax. Current and deferred tax is recognised in the consolidated statement of comprehensive income, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.10 Dividends

Dividend income

Dividend income is recognised in the profit and loss account on the date the entity's right to receive the dividend is established.

Dividend expense

Dividend expenses are recognised in the statement of changes in equity on the date the entity's right to pay the dividend is established.

1.11 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2021. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4);
- Amendments to References to the Conceptual Framework in IFRS Standards;
- Definition of a Business (Amendments to IFRS 3);
- Definition of material (Amendments to IAS 1 and IAS 8); and
- Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7).

The following amendments to existing standards have been issued and became effective in the year as a response to the COVID-19 pandemic:

- Covid-19-Related Rent Concessions (Amendment to IFRS 16), effective from 1 June 2020 and endorsed by the UK on 9 October 2020.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2021.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

2 Auditor's remuneration

Auditor's remuneration:

	FY 21 £000	FY 20 £000
Audit of these financial statements	14	2

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

3 Staff numbers and costs

The Company had no employees during the current or prior periods.

4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

Notes (continued)

5 Interest payable and similar expenses

	FY 21 £000	FY 20 £000
Interest payable	79	-
Unwinding of discounting on acquisitions	803	951
	<u>882</u>	<u>951</u>

6 Taxation

Recognised in the profit and loss account

	FY 21 £000	£000	FY 20 £000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Adjustments in respect of prior periods		-		-
Total current tax		-		-
<i>Deferred tax</i>				
Adjustments in respect of prior periods	-		-	
		-		-
		-		-

Reconciliation of effective tax rate

	FY 21 £000	FY 20 £000
Profit for the year	5,506	6,500
Total tax expense	-	-
Profit excluding taxation	<u>5,506</u>	<u>6,500</u>
Tax using the UK corporation tax rate of 19% (FY 20: 19%)	1,046	1,235
Income not taxable for tax purposes	(1,900)	(1,940)
Non-deductible expenses	838	705
Group relief surrendered	16	-
Total tax expense	<u>-</u>	<u>-</u>

The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2020/21 and 2021/22 tax years. An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This change will increase the Company's future tax charge accordingly, but is expected to have an immaterial impact on the Company's future profits.

7 Fixed asset investments

	Shares in Group undertakings £000
Cost	
At 1 April 2019	14,219
Additions	8,592
Disposals	-
At 31 March 2020	<u>22,811</u>
Additions	8,730
Disposals	-
At 31 March 2021	<u>31,541</u>

The Company's fixed asset investments are all in relation to investments in subsidiaries. The Company holds no tangible fixed assets.

Additions in the year relate to the transfer of ownership of 100% of the share capital of Axxsys Limited from the Company's ultimate parent entity, Alpha Financial Markets Consulting Plc on 25 February 2021. Ownership has been transferred at consideration of £8,730,000, which represents carrying value of the investment held by the Company's ultimate parent entity at the transfer date of the Axxsys Limited shares, and £800,000 of cash acquired on initial acquisition of Axxsys. There is therefore no gain or loss for either entity attributable to the transfer of share ownership.

Notes (continued)

7 Fixed asset investments (continued)

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2021	Class and percentage of shares held - 31 March 2020
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting S.A.S	France	3	Consultancy services	100% ordinary	100% ordinary
Obsidian Alpha Data Solutions LLC	Serbia	11	Consultancy services	100% ordinary	100% ordinary
Alpha FM Consulting Canada Inc	Canada	12	Consultancy services	100% ordinary	N/A
Axxsys Limited	UK	13	Consultancy services	100% ordinary	N/A
Axxsys Financial Software Consulting Canada Limited	Canada	13	Consultancy services	100% ordinary	N/A
Axxsys Consulting USA Inc	USA	14	Consultancy services	100% ordinary	N/A
Axxsys Danmark ApS	Denmark	15	Consultancy services	100% ordinary	N/A

Notes:

- 60 Gresham Street, London, EC2V 7BB
- 12 East 49th Street, New York, NY 10017, USA
- 6 Square de L'Opéra Louis Jouvét, 75009 Paris, France
- 19/21 Route d'Arlon – bloc B, L-8009 Strassen, Luxembourg
- Spaces Zuidas, Barbara Strozziilaan 101, 1083 HN, Amsterdam, The Netherlands
- Bleicherweg 10, 8002 Zürich, Switzerland
- Mergenthalerallee 73-75, 65760 Eschborn, Germany
- 6 Raffles Quay #16-01, Singapore 048580
- 22/F., Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
- 383-385 George Street, Sydney NSW 2000
- Belgrade, Serbia at Bulevar kralja Aleksandra no.52
- Suite 1700, Park Place, 666 Burrard Street, Vancouver, BC V6C2X8, Canada
- New Broad Street House, 35 New Broad Street, London, EC2M 1NH
- Incorp Services, Inc., One Commerce Center, 1201 Orange Street #600, Wilmington, Delaware 19899
- Flaesketorvet 68, DK-1711 Copenhagen, V Denmark

Notes (continued)

7 Fixed asset investments (continued)

Subsidiary undertakings	Share capital and reserves £'000	Profit/(loss) for the period £000
Alpha Financial Markets Consulting UK Limited	18,488	10,445
Alpha Technology Services Consulting Limited	-	-
Alpha Data Solutions Limited	(2,530)	(1,361)
Alpha Financial Markets Consulting Inc.	1,564	908
Alpha Financial Markets Consulting S.A.S.	8,862	1,545
Alpha Financial Markets Consulting S.A.	1,966	499
Alpha Financial Markets Consulting Netherlands B.V.	(839)	(471)
Alpha Financial Markets Consulting Switzerland S.A.	(216)	(162)
Track Two GmbH	(444)	(99)
Alpha Financial Markets Consulting Singapore Pte. Limited	1,253	235
Alpha Financial Markets Consulting Hong Kong Limited	(8)	2
Alpha Financial Markets Consulting Australia PTY Limited	340	309
Obsidian Solutions Limited	446	16
Alpha Technology Services Consulting S.A.S	37	(5)
Obsidian Alpha Data Solutions LLC	32	33
Alpha FM Consulting Canada Inc	247	243
Axxsys Limited	2,306	658
Axxsys Financial Software Consulting Canada Limited	240	11
Axxsys Consulting USA Inc	-	-
Axxsys Danmark ApS	2,234	1,260

8 Debtors

	FY 21 £000	FY 20 £000
Amounts owed by Group undertakings	326	25,173
	<u>326</u>	<u>25,173</u>

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

Amounts owed by Group undertakings are interest free and are repayable on demand. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. Of a total of £23,044,000 (FY 20: £25,173,000) of amounts owed by Group undertakings, the Company recognised £22,718,000 (FY 20: £nil) within non-current assets and £326,000 (FY 20: £25,173,000) within current assets.

9 Creditors: amounts falling due within one year

	FY 21 £000	FY 20 £000
Amounts owed to Group undertakings	35,746	29,162
Other creditors	1,908	3,616
	<u>37,654</u>	<u>32,778</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date the majority of these balances are non interest-bearing. All amounts owed to Group undertakings are repayable on demand. The Group has no intention to request the repayment of amount owed to other Group entities within the next twelve months.

Within other creditors is earn-out and deferred consideration comprising £1.9m relating to deferred consideration payments arising from the acquisition of Axxsys Limited at the balance sheet date.

10 Creditors: amounts falling due after more than one year

	FY 21 £000	FY 20 £000
Other creditors	9,071	6,864
	<u>9,071</u>	<u>6,864</u>

Other creditors falling due after more than one year comprise £4.4m associated with the potential earn-out payments linked to the acquisition of Obsidian Solutions Limited, contingent on performance and falling due over 12 months from the balance sheet date. In addition, £4.7m of costs are related to deferred consideration and earn-out payments from the Axxsys Limited acquisition falling due over 12 months from the balance sheet date.

Notes (continued)

11 Capital and reserves

Share capital

	FY 21 £000	FY 20 £000
<i>Allotted, called up and fully paid</i>		
328,243 ordinary 'A' shares of 10p each	33	33
5,970,623 ordinary 'B' shares of £1 each	5,971	5,971
3,788 ordinary 'C' shares of £3.10 each	12	12
82,413 ordinary 'ANV' shares of 10p each	8	8
1,685 ordinary 'E' shares of 1p each	-	-
100,000 ordinary 'Lux' shares of 10p each	10	10
250,000 ordinary 'USA' shares of \$0.10 each	15	15
24,450 ordinary 'UK' shares of 10p each	2	2
	6,051	6,051
Shares classified in shareholders' funds	6,051	6,051
	6,051	6,051

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium as at 31 March 2021 and 31 March 2020 of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

One interim dividend payment totalling £6,000,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 20: £7,187,000), to facilitate the payments of the FY 21 Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of dividends totalling £10,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (FY 20: £nil).

12 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

13 Events after the reporting period

Acquisition of Lionpoint Holdings, Inc.

On 20 May 2021, the Company reached an agreement to acquire 100% of the issued share capital of Lionpoint Holdings, Inc. ("Lionpoint"), a US-based provider of specialist consultancy services to the alternatives investments industry, on a cash free, debt free basis for a total amount (payable over four years) of up to US\$90.0 million (£63.8 million) in a combination of cash and ordinary shares.

The maximum total cash payable by the Company under the acquisition is US\$73.6 million (£52.2 million), of which US\$34.5 million (£24.5 million) was paid on completion. The Company received intercompany funding of £25.5m from other Group entities ahead of making the initial completion payment. The total cash payable was funded from the wider Group's cash reserves and the proceeds of a May 2021 placing of 9,569,839 new ordinary shares of the Company's ultimate parent entity, Alpha Financial Markets Consulting Plc, issued at a price of 325 pence per share raising gross proceeds of approximately £31.1 million (the "placing").

14 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.